

Whangarei District Council Meeting Minutes

Date: Thursday, 23 March, 2023
Time: 9:00 a.m.
Location: Council Chamber
Forum North, Rust Avenue
Whangarei

In Attendance

His Worship the Mayor Vince Cocurullo
Cr Gavin Benney
Cr Nicholas Connop
Cr Ken Couper
Cr Jayne Golightly
Cr Phil Halse
Cr Deborah Harding
Cr Patrick Holmes
Cr Scott McKenzie
Cr Marie Olsen
Cr Carol Peters
Cr Simon Reid
Cr Phoenix Ruka
Cr Paul Yovich

Also present Legal Counsel (Graeme Mathias)

Scribe C Brindle (Senior Democracy Adviser)

1. Karakia/Prayer

Cr Connop opened the meeting with a karakia/prayer.

2. Declarations of Interest / Take Whaipānga

Item 6.3 – Hundertwasser Art Centre Future

3. Apologies / Kore Tae Mai

There were no apologies.

4. Public Forum / Huihuinga-a-tangata

There were no speakers at public forum.

5. Confirmation of Minutes of Previous Meeting of the Whangarei District Council / Whakatau Meneti

5.1 Minutes Whangarei District Council Meeting held 23 February 2023

Moved By Cr Phil Halse

Seconded By Cr Marie Olsen

That the minutes of the Whangarei District Council meeting held on Thursday 23 February 2023, including the confidential section, having been circulated, be taken as read and now confirmed and adopted as a true and correct record of proceedings of that meeting.

Carried

5.2 Minutes Whangarei District Council held 22 February 2023

Moved By Cr Carol Peters

Seconded By Cr Deborah Harding

That the minutes of the Whangarei District Council meeting held on Wednesday 22 February 2023, having been circulated, be taken as read and now confirmed and adopted as a true and correct record of proceedings of that meeting.

Carried

6. Decision Reports / Whakatau Rīpoata

6.1 Adoption of the 2021-22 Annual Report

Subsequent to the agenda being circulated a supplementary agenda, Item 6.1.1, was issued. Item 6.1.1. provided replacement page 249 of the Annual Report and pages 17 & 18, of the Summary Document.

Moved By Cr Patrick Holmes

Seconded By Cr Simon Reid

That the Council

1. Receives the independent Auditor's Report.
2. Adopts the Annual Report and Summary Annual Report for the year ended 30 June 2022.
3. Authorises the Chief Executive to make any minor editing amendments that are required.

Carried

6.2 Draft Waste Management and Minimisation Plan 2023 - Adoption for Consultation

Moved By Cr Nicholas Connop

Seconded By Cr Simon Reid

That the Council adopts Draft Waste Management and Minimisation Plan Statement of Proposal and Summary Document for the Public Consultation commencing on 25 March 2023.

Carried

Cr McKenzie requested his vote against be recorded.

6.3 Hundertwasser Art Centre Update

Moved By Cr Phil Halse

Seconded By Cr Gavin Benney

That the Council;

1. Endorses the art and culture benefit the Hundertwasser Art Centre and the Wairau Māori Art Gallery bring to Whangarei, the wider Northland region, New Zealand and internationally.
2. Notes the Trust have followed the requirements set out in the Trust Deed and the Deed of Guarantee and Indemnity.
3. Notes the options presented for the future of the Hundertwasser Art Centre.
4. Approves option 1 as the preferred option
5. Approves the request for the remaining \$1 million guarantee held by the Trust, to be transferred from the Trust term deposit account to a council deposit account to be held on behalf of the Trust.
6. Approves the payment of \$300,000 of the \$1 million to the Trust, as per Item 5, this financial year 2022-2023.
7. Approves funding for the remaining shortfall this financial year of \$500,000 funded by way of an additional operational expense in the form of a grant as unbudgeted spend in this financial year and paid to the Trust in April 2023.
8. Approves additional annual operating funding of \$100,000 from 2023-2024 financial year and work with the Trust to review and implement a financial remediation plan, ahead of the Long-Term Plan 2024-2034.
9. Notes that after releasing the \$300,000 above in item 6, the remaining guarantee is still \$1,500,000, made up of \$750,000 original guarantee funds and \$750,000 Ngati Wai guarantee.
10. Approves providing up to \$500,000 of the \$1,500,000 in the 2023-2024 financial year to support Hundertwasser Art Centre operations for any financial deficit.

11. Notes that if \$500,000 were to be released during 2023-2024 financial year above in item 10, the remaining guarantee will be \$1,000,000, made up of \$250,000 original guarantee funds and \$750,000 Ngati Wai guarantee.
12. Council requests the Trust to seek additional funding sources including external funding and implementation of their own fundraising activities.

On the motion being put Cr Reid called for a division:

	For	Against	Conflict
His Worship the Mayor	X		
Cr Gavin Benney	X		
Cr Nicholas Connop	X		
Cr Ken Couper			X
Cr Jayne Golightly		X	
Cr Phil Halse	X		
Cr Deborah Harding	X		
Cr Patrick Holmes		X	
Cr Scott McKenzie	X		
Cr Marie Olsen		X	
Cr Carol Peters	X		
Cr Simon Reid		X	
Cr Phoenix Ruka	X		
Cr Paul Yovich		X	
Results	8	5	1

The motion was Carried (8 to 5)

Declaration of Interest:

Cr Couper declared a conflict of interest and withdrew from the table taking no part in discussions or voting on Item 6.3.

6.4 Council Appointments to Outside Organisations

Moved By Cr Patrick Holmes

Seconded By Cr Nicholas Connop

That the Council:

1. Adopts the proposed Policy on Council Appointments to Outside Organisations located at Attachment One.
2. Delegates to the Chief Executive the authority to make editorial and typographical changes to the Policy on Council Appointments to Outside Organisations, if required.

Carried

6.5 Oruku Landing Decision

Moved By Cr Gavin Benney

Seconded By Cr Phil Halse

That the Council

1. Notes the proposed development of the Oruku Landing by Prosper Northland Trust (PNT) and the socio-economic benefits it could bring to Whangarei.
2. Notes that this proposal is different to the previous proposal consulted upon within the LTP amendment, with Council not responsible for constructing or owning the building.
3. Notes that whilst the proposal reduces some risk exposure to Council, there is still an element of operational risk (through its CCO), and limited detail available regarding the proposed sub-lease arrangement between NECT2021 and PNT.
4. Notes that Government funding is only available until the end of March 2023.
5. That Council;
 - a) Approves NECT2021 entering into a lease with PNT to operate the Oruku Landing Conference Centre, along with grant funding to NECT2021 for Furniture Fittings & Equipment, marketing and operating (if required), subject to:
 - i. Council approving (at its sole discretion) the conditions and term of any leases to be entered into by NECT2021 (both through the current proposal and in future).
 - ii. Council's grant for Furniture Fittings & Equipment being for up to \$5m, subject to NECT2021 confirming costings and estimates with Council.
 - iii. The operating grant being for up to \$650k per annum for the first five years of operation, if considered necessary by Council based on cashflows, accounts and projections of NECT2021.
 - iv. The marketing grant being for up to \$50k per annum for three years, if considered necessary by Council based on cashflows, accounts and projections of NECT2021.
 - v. Council being satisfied following further review of the assumptions and financials underpinning the proposal

- b) Notes that approval in principle under this option is subject to conditions being met, with it being for Government to determine whether this satisfies its requirements.
- c) Delegates the Chief Executive to negotiate and approve funding agreements and lease conditions/term, including, but not limited to, the conditions above.
- d) Notes that the funding mechanisms for Council's contribution will be determined through the 2024 – 2034 Long Term Plan.
- e) Notes that should the further review of the assumptions and financials underpinning the proposal not be favourable this matter will be brought back to Council by staff.

On the motion being put Cr Connop called for a division:

	For	Against	Abstain
His Worship the Mayor	X		
Cr Gavin Benney	X		
Cr Nicholas Connop		X	
Cr Ken Couper	X		
Cr Jayne Golightly		X	
Cr Phil Halse	X		
Cr Deborah Harding	X		
Cr Patrick Holmes		X	
Cr Scott McKenzie	X		
Cr Marie Olsen		X	
Cr Carol Peters	X		
Cr Simon Reid		X	
Cr Phoenix Ruka			X
Cr Paul Yovich		X	
Results	7	6	1

The motion was Carried (7 to 6)

8. Public Excluded Business / Rāhui Tangata

Moved By Cr Carol Peters

Seconded By Cr Scott McKenzie

That the public be excluded from the following parts of proceedings of this meeting.
The general subject of each matter to be considered while the public is excluded, the reason for passing this resolution in relation to each matter, and the specific grounds

under Section 48(1) of the Local Government Official Information and Meetings Act 1987 for the passing of this resolution are as follows:

General subject of each matter to be considered		Reason for passing this resolution in relation to each matter	Ground(s) under Section 48(1) for passing this resolution
1.1	Confidential Minutes Whangarei District Council 23 February 2023	Good reason to withhold information exists under Section 7 Local Government Official Information and Meetings Act 1987	Section 48(1)(a)
1.2	Property Matter		
1.3	Land Purchase – Intersection Improvements		
1.4	Whangarei District Airport Contract		

This resolution is made in reliance on Section 48(1)(a) of the Local Government Official Information and Meetings Act 1987 and the particular interest or interests protected by Section 6 or Section 7 of that Act which would be prejudiced by the holding of the whole or the relevant part of the proceedings of the meeting in public, are as follows:

Item	Grounds	Section
1.1	For the reasons as stated in the open minutes	
1.2	To enable Council to carry on without prejudice or disadvantage negotiations (including commercial and industrial negotiations:	Section 7(2)(h)
1.3	To enable Council to carry on without prejudice or disadvantage negotiations (including commercial and industrial negotiations:	Section 7(2)(h)
1.4	To protect information where the making available of the information would be likely unreasonably to prejudice the commercial position of the person who supplied or it the subject of the information.	Section 7(2)(b)(ii)

Carried

A break was taken from 10.55am to 11.05am.

9. Closure of Meeting / Te katinga o te Hui

Cr Connop closed the meeting with a karakia/prayer at 11.54am.

Confirmed this 27th day of April 2023

His Worship the Mayor Vince Cocurullo (Chairperson)